

Insurance Law Fundamentals

1. Principle of Utmost Good Faith (Uberrimae Fidei)

The principle of utmost good faith is the foundation of insurance contracts. Both the insurer and the insured are legally obligated to act in good faith towards each other. The insured must disclose all material facts that could influence the insurer's decision to accept or reject a risk, or to determine the premium. Failure to disclose material information, or providing misleading information, can render the insurance contract voidable at the option of the insurer. This principle applies at the time of entering into the contract and during its continuation. Material facts include pre-existing medical conditions, prior claims history, criminal records, and any hazardous activities or occupations.

2. Principle of Insurable Interest

A person has an insurable interest in something when the occurrence of the insured event would cause that person a financial loss. Without insurable interest, an insurance contract is void and unenforceable. For life insurance, insurable interest must exist at the time the policy is purchased. For property insurance, insurable interest must exist both at the time of purchasing the policy and at the time of the loss. Examples of insurable interest include: a homeowner's interest in their property, a business owner's interest in their business assets, a creditor's interest in the life of a debtor, and a spouse's interest in the life of their partner.

3. Principle of Indemnity

The principle of indemnity states that an insurance contract is designed to restore the insured to the same financial position they were in before the loss occurred, no more and no less. The insured should not profit from an insurance claim. This principle applies primarily to property and liability insurance, but not to life insurance or personal accident insurance, which are benefit policies. The amount of indemnity is limited to the actual cash value of the loss or the policy limit, whichever is lower. Insurers may choose to indemnify through cash payment, repair, replacement, or reinstatement.

4. Principle of Subrogation

Subrogation is the right of the insurer, after paying a claim, to step into the shoes of the insured and recover the amount of the claim from the third party who caused the loss. This principle prevents the insured from receiving double compensation. For example, if a driver's car is damaged by another negligent driver, the insured's insurance company pays for the repairs and then has the right to recover that amount from the at-fault driver or their insurance company. Subrogation only applies after the insurer has paid the claim and only to the extent of the payment made.

5. Principle of Contribution

When the insured has multiple insurance policies covering the same risk, the principle of contribution allows the insurer who has paid the claim to seek proportionate contribution from other insurers who are also liable. This prevents the insured from making a profit by claiming the full amount from each insurer separately. Each insurer's share is calculated proportionally based on their respective policy limits. This principle works alongside the principle of indemnity to ensure the insured receives fair compensation without profiting from the loss.

6. Principle of Proximate Cause (Causa Proxima)

The principle of proximate cause states that the insurance company is liable only if the proximate (nearest or dominant)

cause of loss is an insured peril. When a loss is caused by a chain of events, the insurer must determine which cause is the proximate cause. If the proximate cause is an insured peril, the claim is payable. If the proximate cause is an excluded peril, the claim is not payable. For example, if a storm damages a roof and subsequent rain damages the interior, the storm is the proximate cause, and both damages would be covered under a storm coverage policy.

7. Principle of Loss Minimization

The insured has a duty to take all reasonable steps to minimize the loss when the insured event occurs. The insured must act as a prudent uninsured person would act to protect their property. This does not mean the insured must put themselves in danger, but they should take reasonable precautions. For example, if a fire breaks out, the insured should call the fire department and attempt to save property if it is safe to do so. Failure to take reasonable steps to minimize loss may result in the insurer reducing the claim payout.